DO NOT INITIATE - student final recommendation. The fund owns no NVDA. Assess a new minority common-equity position over 3-5 years; five-year operating model plus terminal value. Valuation date September 1, 2026 (preserved from the historical Edition A), USD/share. Close **$217.44**. Conditional DCF envelope **$54.05-$220.58**, base **$133.97**. This is a scenario range, not a statistical confidence interval. Base upside/downside **-38.39%**; downside-case change **-75.14%**.

The business sells accelerated-computing systems, GPUs, interconnects and software. Customers buy time-to-solution, throughput and developer compatibility. CUDA and integrated networking can support pricing and retention, but customers ultimately need economic returns from the capacity. Strong hardware shipments alone do not establish durable end-user demand.

At this price, the base model is insufficient. The high case requires exceptional continuing growth and lower risk premia; a good company can still offer an unattractive entry price. Reconsider initiation at about **$107.18 or below**, conditional on intact economics, verified spot-date inputs, a defensible cost of capital and resolved source/peer limitations. The 80% threshold is an analyst margin-of-safety rule, not an official fund mandate.

Case	Value/share	WACC	Terminal PV / EV	Rule outcome
low	$54.05	15.73%	61.19%	DO NOT INITIATE
base	$133.97	13.73%	68.81%	WATCH / DEFER
high	$220.58	12.73%	73.49%	WATCH / DEFER

Base EV **3,180,993.32m**, explicit PV **992,022.92m**, terminal PV **2,188,970.40m**. Add excess cash 7,443.00, debt securities 34,143.00, adjusted public investments 40,579.00, adjusted private investments 33,252.05; subtract debt 33,366.00 and other claims 11,794.00. Equity **3,251,250.37m** / **24,268.00m** diluted proxy shares = **$133.97**.

WACC **13.73%** uses 4.79% Treasury, beta 1.8, ERP 5%, spread 1%, tax 17%, market-equity/book-debt weights. Beta, ERP and spread are judgments requiring stronger independent support. Terminal g 3%, ROIC 30%; reinvestment=NOPAT x g/ROIC. Terminal value represents **68.81%** of EV, making long-run margin and required return major risks.

Reverse DCF keeps the base H2, margins, reinvestment and discount rate fixed. Matching $217.44 requires adding **18.75 percentage points** to each FY28-31 growth rate (decimal shift x 100), producing **58.75%, 43.75%, 33.75%, 28.75%**. This is one implied path, not the market's unique forecast.

Peer screens use annualized H1 GAAP data, with provisional capitalizations; dated cover-share and AMD financing checks are in outputs/peer_capitalization_review.md. They cannot establish a precise target. Their disagreement with DCF arises from growth expectations, accounting gains/amortization, software mix and stale fiscal periods. No mechanical averaging and no unsuitable transaction multiple.

Monitor quarterly: accepted deliveries and customer deployment returns; AR days>80; inventory days>170; gross margin<70% for two quarters; supply cancellations; custom-silicon adoption; export restrictions; new guarantee calls or financing to customers. Thresholds are analyst triggers. If demand contraction and slow collections resemble the low case, maintain the student do-not-initiate judgment; the mechanical rule also turns do-not-initiate. If growth, cash collection and margins support the high path with independent evidence, re-underwrite rather than automatically buying.

Material risks: concentrated direct/indirect demand, customer financing feedback, fixed supply exposure, product-transition execution, custom accelerators, export limits, private investment marks and reinvestment. Latest filing commitments and guarantees are discussed in MODEL_GUIDE.md. No claim that these risks have materialized after September 1.

Limitations: approximate July-to-September balance roll; rounded basic shares plus full awards; normalized SBC and lease treatment; simplified other balances and terminal fade; unverified beta regression; peer spot-financing adjustments incomplete. Edition A is the user-reported submitted historical baseline; the original independent draft is unavailable; the AI-revised version and retrospective recollection are separately identified, and Professor Zhang accepted the proposed submission approach subject to his final assessment. Human locked test is documented in commits fd52a28 and f8139c1; partner feedback is not documented. Videos 1/2 and the cold-run recording are locally present; Video 3 is IN PROGRESS. Corrected transcripts, hosted access and the checkpoint receipt remain unverified. Professor response is student-reported; no grade or authorship ruling is inferred.

Sources: K26, Q27, Sep1 price, Treasury and peer URLs in sources/register.json.

Student final judgment: DO NOT INITIATE. Restored baseline mechanical output: WATCH / DEFER at $133.97 versus the September 1, 2026 close of $217.44. The student rejects initiation because the evidence does not justify the price; the separately

tested 10% FY28-31 growth path yielded $93.18 and mechanically DO NOT INITIATE. Source: submission/Edition_B_Student_Reflection.md; original reflection preserved. Committee ask: decline initiation at the valuation-date price; reconsider only after a sufficient price decline or credible evidence of sustainably higher cash flows. The model rule is not an investment mandate.

AI-use disclosure: docs/validation-and-ai-use.md.